good. Downward breakouts seem to always suffer under this gauge.

Table 12.3 shows failure rates. How do you make sense of the numbers? Let me share some examples. In bull markets after downward breakouts, 31% of the patterns failed to see price drop more than 5%. Upward breakouts showed half the failure rate: 15%.

Notice how the failure rates rise quickly as the maximum price rise or decline increases. For example, over half the patterns with downward breakouts (57%) fail to see price drop more than 10%. Upward breakouts don't reach the 50% threshold until price fails to drop more than 25%.

Table 12.4 shows breakout-related statistics.

Breakout direction. The breakout direction is about random but favors a downward breakout. Of course, additional samples might change this.

Yearly position, performance. Mapping performance of wedges onto the yearly price range, we find that upward breakouts with the breakout price within a third of the yearly high perform best. Downward breakouts do better if the breakout price is near the yearly low.

Throwbacks and pullbacks. Throwbacks and pullbacks occur about two-thirds of the time, and it takes the stock between 11 and 12 days to return to the breakout price. The move between the breakout and the apex of the throwback or pullback isn't large enough (4% or 5%) to consider a swing trade to capture the move. Other chart pattern types see price move farther away from the pattern than do wedges. I'd look at those patterns for a throwback or pullback swing trade.